SUPERIOR COURT OF CALIFORNIA

COUNTY OF SAN FRANCISCO

UNIFIED FAMILY COURT

VICKY LOW, Petitioner VS. KENDRICK LOW, Respondent	Case Number: FDI-18-789941 Hearing Date: June 9, 2026 Hearing Time: 9:00 AM Department: 404 Presiding: ROGER CHAN

RELEASE OF FUNDS BY HERSH FAMILY LAW (50/50) SINCE JULY 2021

TENTATIVE RULING

A. Procedural History

1) Petitioner Vicky Low (Wife) and Respondent Kendrick Low (Husband) married on 7/25/1998 and separated on 4/25/2018, for a marriage of 19 years and 9 months. The parties have one adult daughter.

2) On 10/27/2021, Judgment was entered which incorporated the parties' Marital Settlement Agreement (MSA). The MSA provides in relevant part:

   a. Section 2.03(f) – Jurisdiction is reserved over the characterization and division of Wife's IRA account.

   b. Section 2.03(g) – The Court reserves jurisdiction to divide tangible personal property in the event the parties are unable to agree.

   c. Section 2.07 - Jurisdiction is reserved over the following issues: (a) Wife's Family Code 2640 right to reimbursement for a $25,000 contribution to acquisition of Moscow Street, according to proof; (b) the community's right to reimbursement for community investment in Husband's 1972 Chevelle, according to proof; (c) responsibility for tax obligations from before the date of separation, according to proof; (d) characterization and apportionment of credit card payments paid pursuant to Article 2.05(e), according to proof; and (e) computation of interest paid to the Low Family Trust, according to proof.

d. Section 2.05(d) - Upon sale of Moscow Street, the following payments shall be made through escrow: (1) commission and costs of sale; (2) mortgage held with San Francisco Fire Credit Union; (3) HELOC held with San Francisco Fire Credit Union; and (4) $90,000 principal obligation owed to the Low Family Trust.

e. Section 2.05(e) - Upon sale of the Moscow Street, the other following obligations will be paid, through escrow if possible, and if payment through escrow is not possible, from the gross proceeds of sale before division by the parties: (1) interest due to the Low Family Trust through July 31, 2021, less the $11,400 in interest previously paid through year-end 2014; (2) any outstanding tax obligations incurred prior to the date of separation; (3) loan against Husband's deferred compensation account; and (4) credit cards for which both parties might be held liable. The court reserves jurisdiction to allocate the debts paid in Article 2.05(e) between the parties' community and separate obligations, as set forth in Article 2.07.

f. Section 2.05(f) - Upon payment of the items set forth in Article 2.05(d) and (e), the remaining proceeds of sale will be divided equally by the parties.

g. Section 2.05(g) - Each party will report, for federal and state income tax purposes, half of the total gain realized on the sale of the residence. If the parties are unable to exclude their gain entirely under the Internal Revenue Code Section 121, then each party will determine his or her net tax increase as a result, i.e., the difference between his or her total tax obligation in the tax year for which the tax on the gain is paid and what it would have been had the gain been deferred. The party having the smaller net tax increase will pay to the other, half of the difference between the two net tax increases.

h. Section 2.05(h) - The court in the parties' dissolution action will reserve jurisdiction to make such orders relating to sale of the family residence that are necessary to carry out this agreement if the parties fail to cooperate or agree, including orders with respect to the sale process itself, provisions regarding the residence pending sale, disposition of proceeds, and tax consequences.

3) On for hearing is Vicky's Request for Order filed 4/1/2026. Vicky states that funds in the amount of $200,000 have been held in an interest-bearing account by Hersh Family Law (Vicky's former attorney) since July 2021. Vicky states that the balance is now approximately $170,000 due to IRS levies and tax-related liabilities associated with the parties' 2016 taxes. Vicky states that the parties have made multiple efforts to determine how these funds should be distributed but, to date, no resolution has been reached. Vicky requests distribution of the funds in equal amounts to each party.

4) On 5/27/2026, Kendrick filed a Responsive Declaration. Kendrick states the MSA reserved on several issues which require resolution before the trust account proceeds are distributed. As set forth below, Kendrick claims Vicky owes him a total of $33,072 from Vicky's share of the trust account proceeds. These include:

   a. <u>Wife's IRA Account</u> (section 2.03(f) of the MSA) – Kendrick states he is entitled to one-half of the $23,964 community balance of the IRA, and should receive $11,982 from Wife's share of the trust account

   b. <u>Separate Property Contribution by Wife to Community Residence</u> (section 2.07(a) of the MSA) – Kendrick states it has been 5 years since the MSA was executed and Wife has provided no documentation to prove a $25,000 separate property contribution by Wife to the community residence (which was sold). Husband asks the Court to terminate jurisdiction over this issue.

   c. <u>Community Property Contribution to Husband's Separate Property 1972 Chevelle Automobile</u> (section 2.07(b) of the MSA) – Kendrick states it has been 5 years since the MSA was executed and Wife has provided no documentation to prove Husband spent community funds on his separate property 1972 Chevelle automobile. Husband asks the Court to terminate jurisdiction over this issue.

   d. <u>Payments and Taxes Made After Date of Separation for Pre-Marital Income Tax Obligations</u> (Section 2.07(c) of the MSA) – Kendrick states he paid $22,180 from his separate property to cover the parties' 2016 tax obligation, and should receive $11,090 from Vicky's share of the trust account

e. Credit Card Payments Made from Escrow (section 2.07(d) of the MSA) – Kendrick states the MSA reserves jurisdiction over the "characterization and apportionment of the credit card payments paid from escrow on sale of the family home, according to proof." Kendrick states no credit card payments were made from escrow. Kendrick asks the Court to order each party to pay any and all credit card obligations in that party's respective name and indemnify the other party against any enforcement by creditors against the other party.

f. Interest Owing to Low Family Trust (section 2.07(e) of the MSA) – Kendrick states the MSA reserves jurisdiction to compute the interest owing to the Low Family Trust. Kendrick states the Low Family Trust was paid $24,300 in interest out of escrow of the sale of the family home. Kendrick asks the Court to terminate jurisdiction over this issue.

g. Personal Property (sections 2.02(h) and 2.03(g) of the MSA) – Kendrick states the MSA reserves jurisdiction to divide personal property between the parties. Kendrick estimates that Vicky removed $25,000 worth of household furniture, furnishings, fixtures, etc. from the family residence prior to sale and requests Wife to reimburse him $10,000 from Wife's share of the trust account.

h. Potential Tax and Penalty Liability for Husband's Amended Tax Return for 2021 (section 2.05(g) of the MSA) Kendrick states Vicky has failed to provide documentation to show the total cost of improvements made to the family residence. Kendrick intends to amend his "2021 income tax returns for sale of the residence," and would like the Court to retain jurisdiction to order Vicky to indemnify Kendrick in the event his amended 2021 income tax returns are audited and unpaid taxes and penalties are due based on Vicky's inability to prove the improvements to the residence.

5) On 5/28/2026, Vicky filed a Reply Declaration. Vicky did not respond to the specific issues outlined in Kendrick's Responsive Declaration. Instead, she reiterates her request that the Court order the immediate equal division and release of the remaining escrow funds currently being held "rather than continue revisiting and re-litigating historical disputes dating back many years." In the alternative, Vicky requests the Court to "equitably consider the fact that the original escrow

balance was approximately $200,000 before substantial depletion caused by IRS levies and unresolved community property related debt."

B. Findings and Order

The Court has read and considered the pleadings, declarations, and other evidence submitted in this matter. For good cause shown, the Court makes the following findings and orders:

1) Kendrick's request for one half of Vicky's IRA account is DENIED WITHOUT PREJUDICE. There is insufficient proof of the character and value of the IRA account.

2) Kendrick's request to terminate jurisdiction over Vicky's potential $25,000 separate property reimbursement is DENIED.

3) Kendrick's request to terminate jurisdiction over a potential reimbursement of community funds used to purchase Kendrick's separate property 1972 Chevelle is DENIED.

4) Kendrick's request for Vicky to pay him one-half of the post-separation payroll deductions in the amount of $11,090 is DENIED WITHOUT PREJUDICE. There is insufficient proof of payments of pre-marital income tax obligations.

5) Kendrick's request that each party pay any and all credit card obligations in that party's respective name, and indemnify the other party against any enforcement by creditors against the other party of the named party's credit card obligations is GRANTED.

6) Kendrick's request to terminate jurisdiction over interest paid to the Low Family Trust is GRANTED. The Low Family Trust was paid $24,300 in interest out of escrow of the sale of the family home.

7) Kendrick's request for reimbursement in the amount of $10,000 as final settlement of the division of tangible personal property is DENIED WITHOUT PREJUDICE. There is insufficient proof.

8) Pursuant to the MSA Article 2.07, the proceeds from the sale of the Moscow Street property are being held to provide a "mechanism to ensure that any debts for which both parties might be held liable are paid." It has now been almost five years since Judgment was entered. Vicky's request to release the funds held by Hersh Family Law is GRANTED on the condition that the payments required by Article 2.05(d) of the MSA have been paid (commission and costs of sale, mortgage held with San Francisco Fire Credit Union, HELOC held with San Francisco Fire Credit Union,

and $90,000 principal obligation owed to Low Family Trust). The funds shall be divided evenly between the parties.

9) The Court will prepare the finding and order after hearing.